



**Annah v Mwaliko Company Limited (Environment and Land Case
200 of 2024) [2025] KEELC 6418 (KLR) (30 January 2025) (Ruling)**

Neutral citation: [2025] KEELC 6418 (KLR)

**REPUBLIC OF KENYA
IN THE ENVIRONMENT AND LAND COURT AT NAIROBI
ENVIRONMENT AND LAND CASE 200 OF 2024**

**J OMANGE, J
JANUARY 30, 2025**

BETWEEN

ELIZABETH MBULA ANNAH PLAINTIFF

AND

MWALIKO COMPANY LIMITED DEFENDANT

RULING

1. In the application dated 17th May, 2024 the Plaintiff/ Applicant prays for the following orders;
 - a. That this application be certified as urgent and service be dispensed with in the first instance
 - b. That pending the hearing of the is application, this honourable Court be pleased to issue a temporary injunction order restraining the Respondents by themselves, servants, employees, agents or any other persons acting under their instructions from cancelling the sale agreement dated 15th December 2022 and/or dealing, entering, repossessing or in any other manner interfering with all that premises known as Apartment No A6-3 of Block A, being a four(4) bedroom Apartment on 6th Floor, erected on Property Land reference No.2/248 Ole Dume Road, Nairobi.
 - c. That pending the hearing of this suit, this Honourable Court be pleased to issue a temporary injunction order restraining the Respondents by themselves, servants, employees, agents or any other persons acting under their instructions from cancelling the Sale agreement dated 15th December and dealing, entering, remaining or in any other manner interfering with all that premises known as Apartment No A6-3 of Block A, being a Four (4) Bedroom Apartment on 6th Floor, erected on property Land Reference No. 2/248 Ole Dume Road, Nairobi.
 - d. That pending the institution and/or determination of Arbitration proceedings this Honourable Court be pleased to issue a temporary injunction order restraining the Respondents by themselves, servants, employees, agents or any other persons acting under



their instructions from cancelling the sale agreement dated 15th December 2022 and/or dealing, entering, repossessing or in any other manner interfering with all that premises known as Apartment No A6-3 of Block A, being a Four(4) bedroom apartment on 6th Floor, erected on property Land Reference No. 2/248 Ole Dume Road, Nairobi.

- e. That the cost of this application be provided for.
2. The application is supported by the affidavit of Elizabeth Mbula Annah in which she deposes she is the beneficial owner of Apartment No A6-3 OF Block A (hereinafter referred to as the suit property). She avers that she purchased the suit property vide a sale agreement executed on 15th December 2022. The agreed purchase price was Kshs 22,500,000 out of which she alleges that she has paid a total of Kshs 15,750,000 including an amount of Kshs 3,000,000 which she states she paid on 3rd May, 2024.
 3. It is her contention that in spite of receiving these payments the Defendant has issued her with a Rescission notice which though dated 9th May, 2024 was served upon her on 13th May, 2024. It is her case that the Defendant has refused to negotiate any settlement with her. She argues that the Defendants behavior is disproportionate considering the amounts she has already paid. Lastly, it is her contention that this court has power under section 7 of the Arbitration Act to grant an injunction.
 4. The Defendant has filed a Replying Affidavit in which the director of the Defendant Zhou Xiaoyuan deponed that the parties herein executed a sale agreement in respect of the suit property. The agreement had a schedule for payment which the Plaintiff did not adhere to. The Defendant alleges that as at 21st March, 2024 the Defendant was yet to receive an amount of Kshs Ten Million Two Hundred and Fifty Thousand (10,250,000). The Defendant contends that in spite of being granted additional time to regularize the account, the Plaintiff failed to comply prompting the issuance of the rescission notice. The Defendant argues that the Plaintiff has not met the requirements for grant of the injunctive reliefs she seeks. On the question on whether an injunction can be granted as provided by Section 7 of the Arbitration Act, it is the position of the Defendant that the Plaintiff has not instituted arbitration proceedings and has not defined the subject matter of such proceedings.
 5. The Plaintiff filed a further affidavit in which she drew the attention of the court to the fact that the Defendant has already sold the property to a third party demonstrating bad faith on their part. She also reiterated her argument that the Arbitration clause entitled her to an injunction while awaiting the outcome of Arbitration.
 6. Both counsels filed submissions which the court has considered. The sole issue the court has to determine is whether the Plaintiff is entitled to an injunction as prayed.
 7. The Plaintiff urged the court to grant an injunction on grounds that the agreement executed by the parties had an Arbitration Clause. She strongly argues that under Section of the Arbitration Act, the court can grant injunctive relief to preserve the subject matter while awaiting the conclusion of the Arbitration proceedings.
 8. Section 7 of the Arbitration Act provides: It is not incompatible with an arbitration agreement for a party to request from the High Court, before or during arbitral proceedings, an interim measure of protection and for the High Court to grant that measure.(2)Where a party applies to the High Court for an injunction or other interim order and the arbitral tribunal has already ruled on any matter relevant to the application, the High Court shall treat the ruling or any finding of fact made in the course of the ruling as conclusive for the purposes of the application.



9. A plain reading of this section is clear that a party can apply for injunctive reliefs before or after Arbitration proceedings are commenced. It is my view that for one to qualify for the grant of the interim protective measure they would need to meet at least three basic requirements;
- a. That there is an arbitration clause in the contract which the parties executed
 - b. That they require the protection of the court
 - c. That they are committed to resolution of the dispute through Arbitration
10. In the instant case the parties have a clear arbitration clause in paragraph 26 of the agreement in which the parties outlined in great detail the process that was to be followed in the event of a dispute.
11. On the question of whether the applicant requires the protection of the court, it is my view that the court would have to consider the circumstances each case. In this case it is evident from both parties affidavits that there is no contestation that the Plaintiff has not fulfilled her obligations under the contract. While she may have valid reasons for not complying, it would be difficult for the court to issue protective orders in her favour. It is also surprising that she seeks an injunction under Section 7 of the Arbitration Act when her application clearly indicates that it is brought under Order 40. She also does not mention the issue of the Arbitration clause in the plaint.
12. The court will also consider whether the Plaintiff has satisfied the grounds for issuance of an injunction under Order 40. Order 40 Rule 1 (a) and (b) of the Civil Procedure Rules provides:
- “Where in any suit it is proved by affidavit or otherwise –
- a. That any property in dispute in a suit is in danger of being wasted, damaged, or alienated by any party to the suit, or wrongfully sold in execution of a decree; or
 - b. That the defendant threatens or intends to remove or dispose of his property in circumstances affording reasonable probability that the Plaintiff will or may be obstructed or delayed in execution of any decree that may be passed against the defendant in the suit; the court may by order grant a temporary injunction to restrain such act, or make such other order for the purpose of staying and preventing the wasting, damaging, alienation, sale removal, or disposition of the property as the court thinks fit until the disposal of the suit or until further orders.”
13. The principles for grant of injunction are well settled by the locus classicus of *Giella Vs Cassman Brown & Company Limited* [1973] E.A. 358., where the court stated thus:
- “First, an applicant must show a prima facie case with a probability of success. Secondly, an interlocutory injunction will not normally be granted unless the applicant might otherwise suffer irreparable injury, which would not adequately be compensated by an award of damages. Thirdly, if the court is in doubt, it will decide an application on the balance of convenience.”
14. In *Nguruman Limited Vs Jan Bonde Nielsen & 2* the Court of Appeal had this to say on prima facie case ; “ The party on whom the burden of proving a prima facie case lies must show a clear and unmistakable right to be protected which is directly threatened by an act sought to be restrained, the invasion of the right has to be material and substantive and there must be an urgent necessity to prevent the irreparable damage that may result from the invasion”



15. The parties in this case executed an agreement. This court cannot rewrite the terms of the agreement as was succinctly held by the Court of Appeal in the case of David Mushokambere Versus Quanza Homes Limited (2015) eKLR. In order to establish a prima facie case the Plaintiff needs to establish under the agreement that the parties executed she has a clear and unmistakable right to be protected.
16. In view of the fact that she has not demonstrated that she has complied with her obligations under the agreement I find that the Plaintiff has not established a prima facie case. For this and the reasons cited earlier I find that the application has no merit and is dismissed with costs to await the determination of the main suit.

JUDGMENT SIGNED, DATED AND DELIVERED VIA MICROSOFT TEAMS THIS 30TH DAY OF JANUARY 2025

JUDY OMANGE

JUDGE

In the presence of:

Ms. Gethi for Plaintiff/applicant

Mr. Koech for Defendant/Respondent

Court Assistant Meryline

